

9.2 ECONOMIC DEVELOPMENT

MARKING SCHEME

PP/DSE/II/16(b)

- (i) - Longer life expectancy
- Higher literacy rate
 - (ii) - Income is less evenly distributed.
- A larger proportion of total output consists of national defence and capital goods.
- There are more problems of pollution.
- The people enjoy less leisure.
- There are fewer non-marketed / unreported goods. (2@, max: 4)
- [Mark the **FIRST TWO** points only.]

2012/DSE/II/15(d)

- (i) HDI measures the level of economic and social development of a country in 3 dimensions: health (measured by life expectancy at birth), education (measured by mean years of schooling and expected years of schooling) and living standard (measured by Gross National Income per capita). (2)
 - (ii) More production, business activities and employment opportunities in the import-export industry lead to higher per capita GDP.
- OR
- Foreign health product or technology imported lead to better health (2)

2013/DSE/II/14(b)

- (i) Hong Kong.
HK: GNI per capita rank - HDI rank = -4
Given HDI rank = 13, GNI per capita rank = 9
Japan: GNI per capita rank - HDI rank = 11
Given HDI rank = 12, GNI per capita rank = 23 (2)
- (ii) Japanese have longer years of schooling on average. (1)
Japanese have a longer life expectancy on average. (1)
- (iii) Any example of policy that can enhance the education level or health condition of Hong Kong people. E.g., increase government subsidy on tertiary education. (2)

2014/DSE/II/14(d)

- tax allowance for further education (or education subsidy)
 - teaching grants -- to universities for more degree programmes
 - bigger immigration quota for experts and professionals
- [Mark the **FIRST TWO** points only.]

2015/DSE/II/14(e)

- (i) GDP may increase because of trade-induced transfer of superior technology from its trading partners, resulting in an increase in productivity.
- OR
- Exchange in health technology may increase life expectancy. (1)
- (ii) - Workers in import-substitute industries may suffer unemployment
 - Income distribution may become more uneven
 - Pollution may increase (due to specialization in producing more "polluted" goods) (2@, max: 4)
- [Mark the **FIRST TWO** points only.]

2016/DSE/II/15(e)

- (i) - lower per-capita GDP
 - lower human capital / labour productivity
 - lower marginal productivity of capital (due to complementarity of labour and capital)
 - slower research and development
 (2@, max: 4)
 [Mark the **FIRST TWO** points only.]
- (ii) - importation of high-skilled labour
 - scholarships to attract higher-quality overseas students
 - relaxation of immigration policy to target the smarter brains
 - introduction of return migration policy
 (2@, max: 2)
 [Mark the **FIRST** point only.]

2017/DSE/II/15(c)

- (i) Enhanced economic growth (as shown by higher levels or positive rates of growth) of per-capita real GDP because (1)
 external trade could increase aggregate demand (through exports) and hence real GDP. (1)
- (ii) No change in economic development (as reflected by the same level of HDI) because (1)
 more people may leave school earlier in order to take part in trading activities, thus decreasing the average number of years of schooling, while GDP rises as a result of trade. (1)
OR
 pollution (as a by-product) may become more serious as production is increased after trade / new disease or virus brought in by foreigners may shorten the life expectancy at birth of the local people. (1)

2018/DSE/II/15(d)

- (i) Uncertain, because (1)
 per capita GNI would fall while life expectancy may rise. (2)
OR
 No, because (1)
 the effect on life expectancy would become significant only in the long term, so that the (immediate) GNI effect should dominate in the current period. (2)
- (ii) Uncertain, because (1)
 while per capita GNI may increase, average year of schooling and/or average life expectancy may drop. (2)

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- (b) Income inequality improved in 2020. (1)
- Policies:
- Increase in government transfer payments to the low-income groups.
 - Increased progressivity of the income tax system.
 - Any other relevant point.
- [Mark the **FIRST** point only.]
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max:1